

Test Yourself
Microeconomics
XED and Other
Elasticities

Duration of each question is **40 mins**

1. Assess whether knowledge and understanding of price elasticity of demand (PED) **or** cross elasticity of demand (XED) is likely to be more useful to a producer of smartphones. (12) **q2b/23/O/N/23**
2. Assess whether cross elasticity of demand is likely to be more important in determining the demand for electric cars than income elasticity of demand. (12) **q2b/23/M/J/24**

MARKING SCHEME

Question	Answer	Marks
1	Assess whether knowledge and understanding of price elasticity of demand (PED) or cross elasticity of demand (XED) is likely to be more useful to a producer of smartphones. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Analysis of the benefits of using PED for a smartphone producer e.g., for raising / decreasing the price to maximise revenue. • Analysis of the limitations of the use of using PED e.g., the figures are only estimates and may change over time. • Analysis of the benefits of using XED for a smartphone producer e.g., to determine whether it is a complement or a substitute for a product produced e.g., by a different business to enable it to react to competitor pricing decisions. • Analysis of the limitations of using XED e.g., other factors may have a greater influence e.g., brand loyalty to a competitor. If limitations of only one measure are analysed then L3 mid-point maximum. If only one measure is analysed or no reference to smartphone producers then L2 maximum. AO3 Evaluation • Assessment of whether PED or XED is more useful to the producer. • Need to use other sources of information in decision-making – e.g., YED. • Justified conclusion. Accept all valid responses. A one-sided response cannot gain any marks for evaluation.	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
2	Assess whether cross elasticity of demand is likely to be more important in determining the demand for electric cars than income elasticity of demand . Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • Explanation of what is meant by cross elasticity of demand. • The significance of the price and availability of substitute models of both petrol and electric cars and their complements e.g., petrol and charging points etc. • The weaknesses of the concept. • Explanation of what is meant by income elasticity of demand. • The significance of income in the decision to purchase an electric car including the relationship of changes in income to changes in demand. • The weaknesses of the concept. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and will be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question. AO3 Evaluation That clearly assesses the extent to which cross elasticity of demand is likely to be more important than income elasticity of demand in determining the demand for electric cars by comparing the significance and weaknesses of both concepts and reaches a justified conclusion. A one-sided response cannot gain any marks for evaluation. Please use a text box to show the mark split e.g., L2 5 L1 2	12
	AO1 Knowledge and Understanding and AO2 Analysis	8
	AO3 Evaluation	4